BSPRA Explained: Builder and Sponsor Profit and Risk Allowance *in the HUD 221(d)(4)*

A Practitioner's Guide to Builder and Sponsor Profit and Risk Allowance

BSPRA is one of those HUD concepts that lenders know exists but have a notoriously hard time explaining. The name alone — Builder and Sponsor Profit and Risk Allowance — doesn't make it obvious what it is or why it matters. In practice, BSPRA is the mechanism HUD uses to allow a for-profit developer to capture some economic benefit within the LTC mortgage calculation, since HUD treats a developer fee as non-mortgageable. This article explains how it works and how it compares to SPRA.

W **Wim Roach**
Vice President

B **Brian Lorenz**
Vice President

Centennial Mortgage, Inc.
HUD/FHA Multifamily Origination
Published April 2026

Current as of April 2026.
Latest version: roachlorenz.com/resources/hud-221d4-bspra/

Whenever someone asks me to explain BSPRA, I smile a little. Every HUD lender has heard the term — it's in every 221(d)(4) cost analysis — but ask ten people to explain it clearly and you'll get ten different answers, most of them incomplete. What follows is the explanation I give when someone asks me directly: what BSPRA is, why HUD created it, how the math works, and how it compares to SPRA.

01
FOUNDATION

Mortgageable vs. *Non-Mortgageable Costs*

Before BSPRA makes sense, you need to understand how HUD determines which development costs count toward the LTC mortgage calculation and which don't. A **mortgageable cost** is a line item in the development budget that HUD allows as part of the replacement cost basis — the number against which the LTC percentage is

applied to size the mortgage. A **non-mortgageable cost** is a real cost the developer must fund, but one that HUD excludes from that basis, so it doesn't increase the loan amount.

Most hard and soft costs are mortgageable. Architect's fees are mortgageable; if the architect contract is $500,000, the LTC basis increases by $500,000 and the mortgage amount increases by 87% of that (assuming a market-rate 221(d)(4)). Demolition of an existing structure, on the other hand, is non-mortgageable. A $500,000 demo budget is a real cost the developer pays, but it produces no increase in the mortgage amount.

For for-profit developers, HUD treats the developer fee as non-mortgageable. The developer can absolutely take a fee — it just won't move the LTC needle. On a conventional construction loan, developer fees are commonly included in the cost basis and thus help support a larger loan. HUD doesn't allow that, which creates a structural problem: the developer's economic return on the deal is entirely funded outside of mortgage proceeds. BSPRA is HUD's partial solution to that problem.

> **NON-PROFIT VS. FOR-PROFIT**
>
> Non-profit borrowers are eligible for a traditional developer fee as a mortgageable cost under HUD's guidelines. BSPRA and SPRA apply specifically to for-profit and limited distribution borrowers under Sections 221(d)(4) and 220.

02

PROGRAM MECHANICS

What BSPRA *Actually Is*

BSPRA is an artificial increase to the LTC cost basis with no corresponding real cost. Per the MAP Guide, it is a **presumed profit** for development and construction — not an actual cash fee paid to anyone. HUD calculates BSPRA as **10% of mortgageable costs exclusive of land**, specifically: on-site improvements, structures, general requirements and overhead, architect's fees, carrying charges and financing, legal, organizational (including third-party report fees), and audit expenses. That 10% figure is added to the replacement cost basis for the LTC calculation, inflating the mortgage amount above what it would otherwise be.

Because it's an artificial cost — one that appears in the sources as additional loan proceeds but doesn't appear as a cash outlay in the uses — BSPRA effectively lets the developer contribute their presumed profit as equity in the deal structure. The higher LTC basis increases the mortgage, which reduces the equity required at closing. The developer doesn't receive a check for the BSPRA amount; instead, the value shows up in the form of a lower out-of-pocket equity requirement.

There is one condition: to use BSPRA, there must be an **identity of interest between the borrower and the general contractor**. This is typically a nominal equity position — often just 1% — granted to the GC in the borrowing entity. It can also be a more substantive stake if the developer chooses to grant the GC equity in lieu of a GC fee. Either way, once BSPRA is in play, the **GC fee becomes non-mortgageable**. The logic mirrors the developer fee treatment: because the GC is now part of the borrowing entity, its profit is already presumed to be captured in the BSPRA calculation rather than recognized as a separate mortgageable cost.

BSPRA IS NOT MANDATORY

A borrower may pay an affiliated GC an actual builder's fee or profit instead of using BSPRA, provided the amounts are reasonable and customary, the contract is cost-plus fixed fee with both parties cost-certifying, and the fee is funded in the construction escrow at initial endorsement. BSPRA is a mechanism, not a requirement.

03

WORKED EXAMPLE

BSPRA vs. No BSPRA: *The Numbers*

The following example walks through the same project with and without BSPRA to show the actual impact on the mortgage and equity requirement. The project has $20M in hard costs, $500K in architect's fees, $500K in lender and HUD fees, $1M in land, $500K in demolition (non-mortgageable), a $1M developer fee (non-mortgageable), and a $1M GC fee. The LTC percentage for a market-rate 221(d)(4) is 87%.

With BSPRA: The GC takes a nominal interest in the borrowing entity. The GC fee becomes non-mortgageable. BSPRA of 10% is applied to mortgageable costs exclusive of land.

LTC COST BASIS — WITH BSPRA

COST ITEM	MORTGAGEABLE?	AMOUNT
Hard Costs	Yes	**$20,000,000**
Architect's Fees	Yes	**$500,000**
Lender and HUD Fees	Yes	**$500,000**
GC Fee	No — BSPRA requires identity of interest; GC fee is non-mortgageable	—
BSPRA (10% of above mortgageable costs)	Yes — artificial addition to basis	**$2,100,000**
Land	Yes — but excluded from BSPRA base	**$1,000,000**
Total Mortgageable Cost Basis		**$24,100,000**

$24,100,000 × 87% LTC = **$20,967,000 mortgage amount.**

Because BSPRA is not a real cost, it does not appear as a use in the sources and uses statement — it only appears in the sources (as part of the higher loan proceeds) and offsets the equity requirement. The working capital escrow and initial operating deficit escrow are calculated as a percentage of the mortgage amount, so they also move with the mortgage size.

SOURCES — WITH BSPRA

USES — WITH BSPRA

SOURCE	AMOUNT
221(d)(4) Mortgage	$20,967,000
Equity Required	$5,000,690
Total	**$25,967,690**

USE	AMOUNT
Hard Costs	$20,000,000
Architect's Fees	$500,000
Lender and HUD Fees	$500,000
Land	$1,000,000
Demolition	$500,000
Developer Fee	$1,000,000
GC Fee	$1,000,000
Working Capital Escrow (4%)	$838,680
Initial Operating Deficit (~3%)	$629,010
Less: BSPRA (not a real cost)	—
Total	**$25,967,690**

Without BSPRA: The GC is not brought into the borrowing entity. The GC fee remains mortgageable, but there is no 10% artificial addition to the basis.

LTC COST BASIS — WITHOUT BSPRA

COST ITEM	MORTGAGEABLE?	AMOUNT
Hard Costs	Yes	$20,000,000
Architect's Fees	Yes	$500,000
Lender and HUD Fees	Yes	$500,000
GC Fee	Yes — no identity of interest required, so GC fee is mortgageable	$1,000,000
Land	Yes	$1,000,000
Total Mortgageable Cost Basis		**$23,000,000**

$23,000,000 × 87% LTC = **$20,010,000 mortgage amount.**

SOURCES — WITHOUT BSPRA

SOURCE	AMOUNT
221(d)(4) Mortgage	$20,010,000
Equity Required	$5,890,700

USES — WITHOUT BSPRA

USE	AMOUNT
Hard Costs	$20,000,000
Architect's Fees	$500,000

SOURCE	AMOUNT
Total	**$25,900,700**

USE	AMOUNT
Lender and HUD Fees	$500,000
Land	$1,000,000
Demolition	$500,000
Developer Fee	$1,000,000
GC Fee	$1,000,000
Working Capital Escrow (4%)	$800,400
Initial Operating Deficit (~3%)	$600,300
Total	**$25,900,700**

Comparing the two structures: with BSPRA, the GC fee is non-mortgageable and the developer effectively surrenders it from the LTC calculation, but the artificial 10% basis increase — applied to the full hard and soft cost stack — more than compensates. The BSPRA-based structure produces a mortgage roughly $957,000 larger and reduces the required equity by approximately **$890,000** relative to the no-BSPRA structure. The developer's economic position is materially better with BSPRA even though the GC fee technically fell off the basis, because hard costs dominate the BSPRA calculation and the 10% applied to $21M of mortgageable costs far exceeds the $1M GC fee that was traded for it.

SUMMARY COMPARISON

METRIC	WITH BSPRA	WITHOUT BSPRA
Mortgageable Cost Basis	$24,100,000	$23,000,000
Mortgage Amount (87% LTC)	$20,967,000	$20,010,000
GC Fee Mortgageable?	No	Yes
Equity Required	**~$5.0M**	**~$5.9M**

04

THE ALTERNATIVE

Sponsor Profit and Risk Allowance *(SPRA)*

SPRA — Sponsor Profit and Risk Allowance — is the same concept as BSPRA with one critical difference: no identity of interest between the borrower and GC is required.

Because the GC isn't part of the deal in the SPRA structure, the GC fee stays mortgageable. But the 10% profit allowance is calculated on a much narrower base. Rather than applying to the full hard cost and soft cost stack, **SPRA is 10% of architect's fees, carrying and financing charges, legal, organizational, and audit expenses only** — excluding hard costs and land entirely.

In practice, this makes SPRA a far weaker tool than BSPRA on nearly every market-rate deal. Hard costs are the dominant line item in any construction budget. BSPRA applies the 10% multiplier to that whole stack; SPRA doesn't touch it. On the same project from the example above, BSPRA added $2,100,000 to the cost basis. SPRA applied to just the architect's fees, carrying charges, and similar soft costs on the same project would add far less — roughly $100,000–$200,000 depending on the fee and carry structure — and the GC fee would already be mortgageable anyway. BSPRA is the structurally superior option on virtually every for-profit new construction deal where the developer controls or can negotiate an identity of interest with the GC.

> BSPRA VS. SPRA — WHEN EACH APPLIES
>
> **BSPRA:** Identity of interest required between borrower and GC. GC fee becomes non-mortgageable. 10% applied to hard costs, soft costs, and overhead exclusive of land. The stronger option on market-rate deals where hard costs dominate the budget.
>
> **SPRA:** No identity of interest required. GC fee remains mortgageable. 10% applied only to architect's fees, carrying charges, and organizational/legal/audit costs — soft costs only. Produces a materially smaller basis addition than BSPRA on most projects.

05
ORIGINATION CONTEXT

How BSPRA Fits Into *Deal Structuring*

In practice, most market-rate 221(d)(4) deals are structured with BSPRA. The equity reduction benefit is large enough that it's almost always worth giving the GC a nominal interest in the borrowing entity. Developers who are already affiliated with their GC — which is common — get the benefit without any structural change. Developers using an unaffiliated GC have to weigh whether bringing the GC into the equity structure is viable, but a 1% nominal position typically creates no economic conflict and the mortgage benefit is substantial.

One thing worth flagging on the underwriting side: because BSPRA is not a real cost, it doesn't appear in the uses column of the sources and uses statement. It appears only in the sources — as part of the loan proceeds — and reduces the equity requirement accordingly. If you are reviewing a 221(d)(4) sources and uses and the equity line looks lower than you'd expect given the apparent cost stack, check whether BSPRA is in the LTC calculation. Conversely, if someone has omitted it on a deal where the borrower has an identity of interest with the GC, the equity requirement may be overstated.

The working capital escrow and initial operating deficit escrow are both calculated as percentages of the mortgage amount, so a higher BSPRA-inflated mortgage also increases those required escrow deposits at closing. This is worth modeling when you're doing early-stage feasibility — BSPRA increases the loan and reduces equity, but it also increases the escrow-funded uses by a small amount.

BSPRA applies to new construction and substantial rehabilitation under Sections 221(d)(4) and 220 for for-profit and limited distribution borrowers. It does not apply to 223(f) refinances or 223(a)(7) rate-reduction loans — those are stabilized asset products without a construction cost basis, so the LTC mechanic doesn't apply.

Wim Roach & Brian Lorenz

HUD/FHA Multifamily Origination

Centennial Mortgage, Inc. is an approved HUD/FHA Multifamily Accelerated Processing (MAP) lender. All loan programs subject to HUD/FHA guidelines, approval, and availability. This white paper is for informational purposes only and does not constitute a commitment to lend or legal or financial advice. Program parameters including LTC limits, DSCR requirements, and cost eligibility are subject to HUD guidelines and individual transaction analysis. Wim Roach & Brian Lorenz are loan originators with Centennial Mortgage, Inc.